Stephen Hennessy

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Education

McMaster University — Hamilton, ON
PhD, Economics — 2026 (Expected)
Co-supervisors: Gajendran Raveendranathan & Zachary L. Mahone
Committee members: Bettina Brüggemann & Angela Zheng
MA, Economics — 2020

Saint Mary's University — Halifax, NS
BCom, Honours Economics and Finance — 2019

Research

Job Market Paper

Moving Home: Non-Market Insurance and Labour Market Risk

The ability to move in with a parent provides insurance against labour market risk by allowing workers to reduce housing costs following income loss. Using linked panel data from the Health and Retirement Study, I show that job separations significantly increase the likelihood of moving home, and that this relationship persists into middle age even after accounting for parental health and caregiving needs. Motivated by this evidence, I estimate a structural life-cycle model in which individuals insure against unemployment risk through savings or by exercising the option to co-reside in a directed search environment. Access to co-residence enables workers to search for higher-wage jobs at the cost of longer expected unemployment durations; removing this option shortens search by roughly 5 weeks but lowers earnings and consumption. For an ex ante individual, the welfare value of this insurance is equivalent to a 71 percent increase in unemployment insurance benefits and remains stable from ages 20 to 40. Among younger workers, low asset holdings constrain self-insurance and make co-residence an important means of maintaining consumption during unemployment; among older workers, the reduced number of remaining working years limits their ability to rebuild earnings following job loss, increasing the value of the option to move home.

Working Papers

Parental Altruism and Transfers

Using data from the Health and Retirement Study (1998–2018), I show that child incomes, parent incomes, parent assets, and additional observables explain less than 20 percent of the variation in inter vivos financial transfers. This finding is inconsistent with standard models of homogeneous altruism, in which transfer variation is driven entirely by differences in parent and child incomes and assets. I develop a static model of heterogeneous parental altruism in which altruism follows a lognormal distribution. The model generates transfers across parent and child income distributions, including positive transfers to relatively high-income children, a feature absent from standard homogeneous-altruism models. These distributional implications are important for policy evaluation, as standard models may overstate familial support for low-income children while understating support for high-income children.

Rising Rents and Living at Home: Evidence from 2000–2020

From 2000 to 2020, rental costs increased 20 percent faster than average prices. Concurrently, co-residence between parents and their adult children rose by almost 40 percent among individuals from ages 20 through 40. This paper analyzes the effects of rising rents on labour market search behaviour in a model of optional parental co-residence. I show that rent increases consistent with the data account for approximately one third of the observed rise in co-residence. Higher rental costs lead consumers to search more selectively, targeting higher-wage jobs despite lower job-finding probabilities, which results in higher unemployment. In addition, rising rents impose the largest welfare costs on younger workers, whose limited savings make them less able to self-insure against higher housing expenses.

Research interests: Quantitative macroeconomics, parental altruism, non-market insurance

Skills and Languages

Fortran, Julia, Python, MATLAB, Stata, R, LaTeX

Employment

Research Assistant — Fall 2021 – Spring 2024
Professor Michael Veall — Productivity Partnership

Teaching Assistant
Environmental Economics — Spring 2024
Methods of Inquiry in Economics — Fall 2023
Public Sector Economics: Taxation — Winter 2023
Introduction to Macroeconomics — Winter & Summer 2021

Conference Presentations

Canadian Economics Association, 59th Meeting, Montreal — 2025
58th Meeting, Toronto — 2024
57th Meeting, Winnipeg — 2023

Awards

Departmental Scholarship, McMaster University — 2019 – 2023
Ontario Graduate Scholarship — 2019

Further Work Experience

Research Assistant — 2019
Department of Marketing
Sobey School of Business, Saint Mary's University

Summer Associate — 2018
Surveillance Strategies and Optimization
TD Bank Financial Group, Global Anti-Money Laundering

Research Associate — 2018
Financial Sector
Sobey School of Business IMPACT Fund

Quantitative Skills Tutor — 2017 – 2019
Math Help Center (now: Peer Academic Support Program)
Sobey School of Business, Saint Mary's University

References

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